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2nd Session of the 60th Legislature (2026)

HOUSE BILL 4344 By: Moore of the House

and

Jech of the Senate

8

AS INTRODUCED

An Act relating to The Oklahoma State System of Higher Education; amending 62 O.S. 2021, Section 34.53, as amended by Section 1, Chapter 84, O.S.L. 2025 (62 O.S. Supp. 2025, Section 34.53), which relates to the Oklahoma State Finance Act; permitting the Oklahoma State Regents for Higher Education to reduce allocations in order to make payments for annual obligations; and providing an effective date.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 62 O.S. 2021, Section 34.53, as amended by Section 1, Chapter 84, O.S.L. 2025 (62 O.S. Supp. 2025, Section 34.53), is amended to read as follows:

Section 34.53. A. 1. The Oklahoma State System of Higher Education, established by Article XIII-A of the Oklahoma Constitution, shall operate an allotment system similar to the procedure set out in the Oklahoma State Finance Act for other

1 agencies of the state except that the Oklahoma State Regents for
2 Higher Education shall be substituted for the Director of the Office
3 of Management and Enterprise Services in connection with approving
4 allotment requests of the constituent institutions comprising The
5 Oklahoma State System of Higher Education.

6 2. The account classification for the State System of Higher
7 Education shall conform as nearly as possible with the
8 classification of accounts recommended by the National Committee on
9 Standard Reports for Institutions of Higher Education.

10 3. The Board of Regents shall allocate to each institution
11 under its control from the consolidated, or lump sum appropriation
12 made by the Legislature, an amount sufficient to meet the needs and
13 functions of each institution for the entire year.

14 4. The amount allocated to each institution for each fiscal
15 year in accordance with Article XIII-A of the Oklahoma Constitution,
16 shall be made in a lump sum without regard to uniform budget or
17 accounting classifications, but shall not be available for
18 expenditure until subsequently allotted by the Regents in accordance
19 with the uniform budget and accounting classifications recommended
20 by the National Committee on Standard Reports.

21 B. The Oklahoma State Regents for Higher Education may reduce
22 the allocation of funds which could otherwise be made to an
23 institution within The Oklahoma State System of Higher Education in
24 order to make payments for leases within the lease financing program

1 authorized by Section 3206.6a of Title 70 of the Oklahoma Statutes
2 or for annual obligations authorized by subsection D of Section
3 3980.4 of Title 70 of the Oklahoma Statutes.

4 C. 1. The Regents, with the approval of the Director of the
5 Office of Management and Enterprise Services, may allot money to any
6 constituent institution to set up and operate a petty cash fund at
7 such institution. Such petty cash fund shall be reimbursed upon the
8 filing of claims showing the purposes for which the funds were
9 expended.

10 2. The Division of Central Accounting and Reporting shall make
11 cash allocations of revenue in accordance with Section 23 of Article
12 X of the Oklahoma Constitution, to each of the constituent
13 institutions. These cash allocations shall be based on the
14 allocations made by the Regents to each institution from the lump
15 sum legislative appropriations and such allocation shall be the
16 total appropriation for each institution, in lieu of legislative
17 appropriations.

18 3. After these funds have been allocated and allotted as
19 provided in this section, all institutional income shall operate as
20 a continuing nonfiscal appropriation which may be spent for any
21 educational and general purposes for which appropriated funds may be
22 spent. "Institutional income" for such purposes shall mean all
23 income available for educational and general purposes, as defined in
24 the uniform budget and accounting classifications recommended by the

1 National Committee on Standard Reports, and including income defined
2 by law as revolving fund income. Expenditures shall be limited to
3 the extent that obligations as they are incurred may not exceed the
4 unencumbered balance of cash on hand in accordance with Section 23
5 of Article X of the Oklahoma Constitution.

6 D. 1. At least thirty (30) days prior to the beginning of each
7 fiscal year, each of the constituent institutions shall file with
8 the Regents its request for appropriation allotments for each of the
9 purposes for which expenditures are to be made.

10 2. Such requests shall be broken down to conform to the uniform
11 budget or accounting classifications recommended by the National
12 Committee on Standard Reports.

13 3. Each institution's request for appropriation allotments
14 shall show the amount required to finance each item of the request
15 for the entire year and for each quarter or each six-month period
16 within the fiscal year, as required by the Director of the Office of
17 Management and Enterprise Services.

18 E. The Regents, or the official or employee who has been
19 authorized to approve itemized allotment requests, shall consider
20 the allotment requests for the purpose of making a determination
21 whether:

22 1. The current financial requirements of the institution
23 concerned justify the allotment to be made;

1 2. The accounting classification is sufficient to reflect the
2 purpose for which expenditures are to be made and that such
3 classification is in accordance with the budget classifications
4 adopted by the Director of the Office of Management and Enterprise
5 Services and the Regents, which shall conform as nearly as possible
6 to the account classification recommended by the National Committee
7 on Standard Reports for Institutions of Higher Education; and

8 3. The realization of estimated revenues determined by the
9 Director of the Office of Management and Enterprise Services is
10 sufficient to allow the commitments to be made.

11 F. 1. In allotting appropriations and other funds, and
12 approving subsequent allotments which may be required by each
13 institution, the Regents shall follow the same general procedure set
14 forth in the Oklahoma State Finance Act for other agencies of the
15 state not under the control of the Regents, except as otherwise
16 provided in this section.

17 2. All forms and account classifications shall be mutually
18 agreed upon by the Director of the Office of Management and
19 Enterprise Services and the State Regents.

20 3. The Regents shall file approved requests of constituent
21 institutions with the Division of Central Accounting and Reporting
22 and such requests shall be entered on the records of the Office of
23 Management and Enterprise Services in the same manner as is provided
24 in the Oklahoma State Finance Act for other agencies of the state.

1 4. The State Regents and the Director of the Office of
2 Management and Enterprise Services shall approve any request from
3 the administrative head of a constituent institution for amendment
4 of the approved schedule of positions and salaries, or transfers
5 between items, so long as the currently approved allotment for such
6 purposes is not exceeded. Each such amendment shall be filed with
7 the Office of Management and Enterprise Services, in such detail as
8 may be required, prior to the date on which the first payroll or
9 other disbursement affected by such amendment or transfer is
10 submitted for payment.

11 G. 1. In the event that the realization of estimated revenues
12 at any time during the fiscal year indicates that the total revenue
13 for that fiscal year to any state fund will be insufficient at the
14 end of the fiscal year to meet the total appropriations from that
15 fund, the Director of the Office of Management and Enterprise
16 Services shall notify the Oklahoma State Regents for Higher
17 Education as to the amount of reduction necessary against the
18 consolidated, or lump sum appropriations, made to the Regents.

19 2. The Regents, in making itemized allotments during the fiscal
20 year, may reserve an amount sufficient to meet a reasonable failure
21 of revenue until receipt of notice from the Director of the Office
22 of Management and Enterprise Services that the realization of
23 estimated revenues indicates that the total appropriation may be
24 allotted for expenditure. Upon receipt of notice from the Director

1 of the Office of Management and Enterprise Services of a necessary
2 reduction in the consolidated, or lump sum appropriation, to meet a
3 failure in revenue, the Oklahoma State Regents for Higher Education
4 shall immediately take action to control the approval of subsequent
5 allotment requests sufficient to make the aggregate reduction in
6 allotments of all constituent institutions under their control equal
7 the amount of reduction ordered against the lump sum appropriation
8 made by the Legislature. Such reductions against the lump sum
9 appropriation shall not exceed the percentage reduction ordered
10 against other agencies of the state in accordance with Section 23 of
11 Article X of the Oklahoma Constitution.

12 SECTION 2. This act shall become effective November 1, 2026.
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14 COMMITTEE REPORT BY: COMMITTEE ON APPROPRIATIONS AND BUDGET, dated
15 03/09/2026 - DO PASS, As Coauthored.
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